

Design Day Report

GrocerAI Summary



Designed by:

Aarya Shetty

Adrien Wera

Kamalendu Chembakassery Menon

Nidhi John Roy

Robert Djukic

University of Ottawa

Faculty of Engineering

March 25, 2024

Grocery shopping is a habit that most people develop when they move out on their own. Unfortunately, in the last few years, the cost of living has gone up drastically and has caused many people to stress over their financial situations. Groceries are no exception to this rule and are one of the most drastic changes. Prices have gone up and most people simply cannot keep up. So, it is evident that there is a current need for a tool that could help people save their money on groceries.

The GrocerAI application will create a new, simple, and interactive way for people to go grocery shopping. Through GrocerAI, users will be able to find the best possible deals at various stores near them for the items they wish to purchase and organize their trips ahead of time. When opening the app, users will be given a very simple UI design where they will be able to set a maximum distance radius (ex: 5km, 10km, 15km, etc...) which correlates to the amount of time they are willing to travel. Once the parameter is set, the users will have the ability to build a cart of the select items they want. Once they are finished with the selection process, our code will be able to quickly identify all the prices from the stores within the select range and recommend the best possible store to go shop at. We learned from our interviews that 90% people have never truly considered using an application to help them go grocery shopping or plan out their grocery list ahead of time. We've also learnt that price is a leading factor whenever people shop, whether it be for the distance traveled or their willingness to change their routine. Although this may seem obvious, it is important to use to take this into account when marketing and to use the price factor as leverage. Furthermore, it is important to consider that we differ ourselves from most of our

competitors with the ability to access real-time prices quickly and with strict parameters and preferences set by the user. We also come in with a very competitive freemium subscription plan that starts with a 1-month free trial and then goes to 1.99\$/month for our base features and then 4.99\$/month for our premium features that include much more personalized content for the users. When looking over the next 3 years, we plan on starting with a lower customer base, but we expect to grow to a minimum of 30000 customers in our third year. This is because there are currently 1.2 million inhabitants alone in Ottawa, which is then separated into 47,000 students at the University of Ottawa, 31,000 students at Carleton University, and 21,000 students at Algonquin College. Due to students being one of our main demographics, we believe that 30000 is a very attainable number for our third year of business.

Currently, we have developed our user interface as well as our branding. We are currently hoping to publish our application to both iOS and Android in the next month or so. We are currently finishing up our database and hope to get it ready within the next month. We believe that with dedicated time and given the proper resources we would be able to make a flawless product and market to our targeted audience. Within the first year, we aim to achieve 600 customers with little profit as we are considering the 1-month free trials given out to each user. In our second year, we believe that we can achieve a loyal customer base of 5000 people. With this prediction, this would become our break even point, and we would even be able to make good profit. With the previous years profit, we plan on advancing our marketing strategies to more than just social media and influencers, and if

successful, we plan on reaching 30000 customers by the end of our third year. Although our third year would likely expand, we are expecting to use social media platforms and influencers as our marketing strategies. These numbers are further explained in our business plan, which dictates that we would be in a net loss of -1,322.10\$ during our first year due to our marketing, business insurance, and software maintenance expenses. This would then change as in our second year we plan on reaching a net income of 130,935.00\$ after our operating expenses. In our third year, we would be reaching a net income of 681,210.00\$.

GrocerAI is currently in the initial development phase where we are still expanding our database by collecting online data and forming connections with stores. Our targeted customer base includes students, regular working professionals, and people who enjoy cooking. The founders of GrocerAI believe in the product and hope to take it much further than where it is right now.